

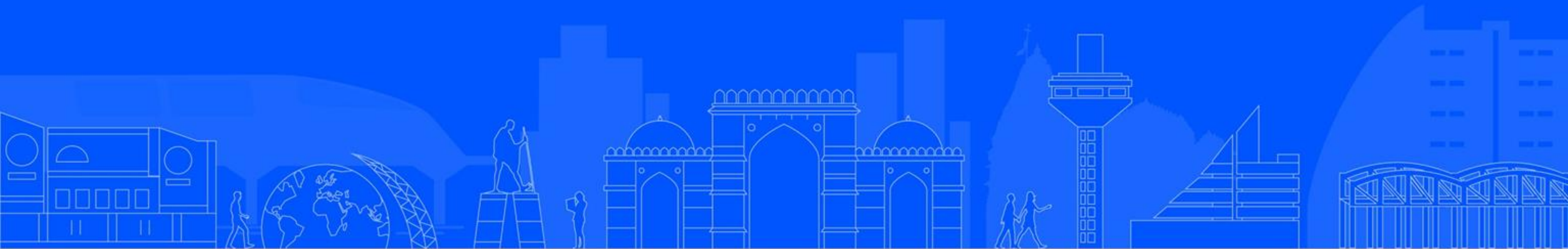


V1.0 - 2024

Providing an Enhanced Software Development Experience

ORIENTATION

Welcome to the ever-growing team of Verve Systems



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- Livelihood
- Health
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Investment Objectives

1. Livelihood
2. Health
3. Life
4. Retirement
5. Child
6. Education
7. Marriage
8. Parent Support
9. Legacy – Wealth Distribution
10. Material (House, Car etc.)

Investment Planning

Objective	21 - 25	26 - 30	31 - 35	36-40	41 - 45	46 - 50	51 - 55	56 - 60
Livelihood	Plan	Plan	Plan	Plan	Plan	Plan	Plan	Plan
Health	Plan	Plan	Plan	Plan	Plan	Plan	Plan	Plan
Life			Plan	Plan	Plan	Plan	Plan	Plan
Retirement					Plan	Plan	Plan	Plan
Child			Plan	Plan	Plan			
Education				Plan	Plan	Plan		
Marriage						Plan	Plan	Plan
Parent Support	Plan	Plan	Plan	Plan	Plan	Plan	Plan	Plan
Legacy - Wealth Distribution							Plan	Plan
Material (House, Car etc.)	Never	Never	Never	Never	Never	Never	Never	Never

Funding % from Income

Objective	21 - 25	26 - 30	31 - 35	36-40	41 - 45	46 - 50	51 - 55	56 - 60
Livelihood	60-80%	50-70%	50%	35-50%	35-50%	35-50%	35%	35%
Health	2%	2%	4%	5%	5%	5%	5%	5%
Life			2%	2%	2%	2%	2%	2%
Retirement					10-15%	15-20%	35-40%	35%
Child			5%	5%	5%			
Education				10%	10%	10%		
Marriage						10%	10%	10%
Parent Support	15%-35%	25%-45%	40%	30-45%	15-20%	10%	5%	5%
Legacy - Wealth Distribution							5%	5-10%
Material (House, Car etc.)	Never	Never	Never	Never	Never	Never	Never	Never

Objective	21 - 25	26 - 30	31 - 35	36-40	41 - 45	46 - 50	51 - 55	56 - 60
Livelihood	60-80%	50-70%	50%	35-50%	35-50%	35-50%	35%	35%

Objective

- ☒ One primary & stable source of income
- ☒ Income should cover your basic monthly expense
- ☒ Target not to use more than 80% of your income for monthly expenses in initial years which should drop to 35% by the time you retire

Option

- ☒ Job/ Service
- ☒ Business
- ☒ Farming

1. Focus on primary source as this will funnel your other income. Should be stable and long-term and gives you growth
2. Hence 90-95% of your focus should be to making sure this happens
3. If you are not able to do the % control then either you are in the wrong job or your expenses are higher
4. Do not unnecessarily increase your lifestyle which you cannot bear/ afford

Objective	21 - 25	26 - 30	31 - 35	36-40	41 - 45	46 - 50	51 - 55	56 - 60
Health	2%	2%	4%	5%	5%	5%	5%	5%

Objective

- ☒ Create a corpus (1L to 1Cr) which covers your health emergencies (liquid funds)
- ☒ Funds should be available quickly for emergencies
- ☒ Replenish the funds if depleted
- ☒ Invest in low risk instruments

Option

- ☒ Health Insurance
- ☒ Fixed Deposit
- ☒ Liquid/ Debt Mutual Fund (T+2)

1. Take a good insurance Health Insurance policy & grow the cover every 3-5 years
2. Read & understand the terms of policy clearly
3. Make sure you never lapse this policy
4. Add your wife and child to the policy as your family grows

Objective	21 - 25	26 - 30	31 - 35	36-40	41 - 45	46 - 50	51 - 55	56 - 60
Life			2%	2%	2%	2%	2%	2%

Objective

- ☑ Cover should be 10x to 20x of your annual income
- ☑ Grow your cover as your risk grows
- ☑ Assess your life risk every 2-3 years

Option

- ☑ Term Plan
- ☑ ULIP
- ☑ Endowment Plan

1. Take a good insurance Term Plan
2. Read & understand the terms of policy clearly
3. Make sure you never lapse this policy
4. The plan should cover the risk coverage on one's life

Objective	21 - 25	26 - 30	31 - 35	36-40	41 - 45	46 - 50	51 - 55	56 - 60
Retirement					Plan	Plan	Plan	Plan

Objective

- ☒ Maintaining the lifestyle after retirement
- ☒ Long term investments to create a corpus of 1 to 4Cr
- ☒ Instruments with Guaranteed return
- ☒ Make sure the investment beats the inflation

Option

- ☒ Pension Plan/ NPS
- ☒ PPF
- ☒ Endowment Plan
- ☒ Tax Saving FDs/ FDs

1. Use the power of compounding to good use
2. Use tax saving plans as much as possible
3. Low risk instruments to be used for this

Child, Education & Marriage

Objective	21 - 25	26 - 30	31 - 35	36-40	41 - 45	46 - 50	51 - 55	56 - 60
Child			5%	5%	5%			
Education				10%	10%	10%		
Marriage						10%	10%	10%

Objective

- ☑ From birth to schooling to higher education to marriage
- ☑ Expenses will grow with the Child hence the investment initial to create a corpus is important

Option

- ☑ ELSS
- ☑ Endowment Plan
- ☑ Mutual Fund (SIP)

1. Use the power of compounding to good use
2. Plan your child's priority and invest as per those objectives
3. Use Long term horizon to make sure there are withdrawal at different intervals
4. Note: do not get overwhelmed by the amount as you would need funds over the period

Parent Support, Legacy, Material

Objective	21 - 25	26 - 30	31 - 35	36-40	41 - 45	46 - 50	51 - 55	56 - 60
Parent Support	15%-35%	25%-45%	40%	30-45%	15-20%	10%	5%	5%
Legacy - Wealth Distribution							5%	5-10%
Material (House, Car etc.)	Never	Never	Never	Never	Never	Never	Never	Never

Objective

- ☑ Priorities your objectives
- ☑ Make sure what & how much you can do

Option

- ☑ Mutual Fund (SIP)
- ☑ Mutual Fund (Lumpsum)
- ☑ Stocks
- ☑ FDs/ Long Term FDs
- ☑ ELSS

1. Use the power of compounding to good use
2. Create a good corpus of funds to leave behind
3. Investment in immovable property should be done only if you have surplus funds

Investment Tools

- ☑ ELSS
- ☑ ULIP
- ☑ Endowment Plan
- ☑ Term Plan
- ☑ Mutual Fund (Lumpsum & SIP)
- ☑ NPS/ Pension Plan
- ☑ PPF
- ☑ FD
- ☑ Stock/ Options
- ☑ Health Insurance

ELSS

- ☑ Equity-Linked Savings Schemes (ELSS) are investment options that offer tax benefits under Section 80C of the Income Tax Act in India.
- ☑ ELSS is a type of mutual fund that invests primarily in equity shares of companies listed on a stock exchange. The returns on these funds are market-linked and tend to be higher than those of fixed deposits and other fixed-income investments.
- ☑ However, the returns are also subject to market fluctuations, and there is a risk of losing money. In addition, ELSS funds have a lock-in period of 3 years, which means that the invested capital cannot be withdrawn before the completion of three years.

ULIP

- ☑ Unit-Linked Insurance Plans (ULIP) are investment options that offer tax benefits under Section 80C of the Income Tax Act in India.
- ☑ ULIP, is a type of insurance product that also offers an investment component. The premium paid for a ULIP policy is invested in various fund options, such as equity, debt, or a mix of both.
- ☑ ULIPs also offer life insurance coverage, and the death benefit paid out is the higher of the sum assured or the fund value. In addition, ULIPs have a lock-in period of 5 years, which means that the invested money cannot be withdrawn before the completion of five years.

Comparative Analysis ULIP vs ELSS

Factor	ULIP (Unit-Linked Insurance Plan)	ELSS (Equity-Linked Savings Scheme)
Tax Benefits	Tax deduction under Section 80C. Gains taxable.	LTCG under ELSS is taxed at 10% on and above Rs 1 lakh
Charges	On policy administration, premium allocation, mortality, etc.	Exit load and fund management charge
Liquidity	Funds can be available after the lock-in of 5 years, subject to other policy conditions.	Funds will be available after the lock-in of 3 years.
Returns	Returns can vary	Returns depend on the scheme (12%-14% Approx)
Lock-in period	5 years	3 years

Source: <https://groww.in/blog/ulip-vs-elss>

Endowment Plan

- ☑ Endowment plans are among the most popular life insurance products in India because it combines the twin benefits of investment and life cover similar to a unit linked insurance plan (ULIP). However, it differs from a ULIP in several ways
- ☑ When you invest in an endowment plan, you are getting life coverage as well as saving money for your retirement, children's education and marriage, or a house.
- ☑ The policyholder's family or nominee gets the sum assured amount on death of the policyholder. In case the policyholder survives the policy term, he gets the maturity amount plus any bonus accrued on the endowment plan.

Term Plan

- ☑ A term life insurance policy is one of the simplest and most cost-effective life insurance products. It provides life coverage for a specified period during the policy term and if the policyholder dies, the sum assured is paid to the nominee in lump sum or as monthly pay-outs. Your term insurance benefits from maximum coverage at a minimum premium. An 18-year-old non-smoking male can avail a term life insurance plan with a life cover of 1 crore at just Rs.14 per day till the age of 75
- ☑ Compared to a ULIP plan or endowment policy, a term insurance can provide your family more financial protection. However, it does not have the savings or wealth creation advantages of a ULIP or endowment policy.
- ☑ Life insurance products are evolving and some insurance companies have come up with term plans with maturity benefit.

Endowment Plans Vs. Term Plans Vs. ULIPs

Aspect	Term Insurance	Endowment Plan	ULIPs
Protection	Life Coverage	Life + Investment	Life + Investment
Premium	Less	High	Higher
Maturity Benefit	No Maturity Benefit Unless Trop	Death Benefit And Sum Assured + Bonus On Maturity	Units Redeemed After Prevailing Rate After Maturity
Risk	No Risk	No Risk	High Risk
Returns	Na	Medium	High
Transparency	None	No Option To Track	Can Keep Track Of Portfolio
Flexibility	No Flexibility Except Add Ons	No Flexibility In Investment	Can Switch Funds And Change Investment Strategy
Tax Benefits	Available U/S 80c And 10d	Available U/S 80c And 10d	Available U/S 80c And 10d

Source: <https://life.futuregenerali.in/life-insurance-made-simple/life-insurance/endowment-plans-vs-term-plans-vs-ulips/>

Mutual Funds (Lumpsum)

- ✓ A mutual fund is a form of investment in which an authorized fund house, such as banks and asset management companies, collects money from investors and trades in securities on their behalf, intending to maximize the profit ratio with the lowest risk.
- ✓ The risk of market movement is reduced because the money is invested in different assets for different investment horizons. When the risk is reduced, a loss in one asset is offset by a profit in another asset in the portfolio.
- ✓ The investment is done in shares, bonds, and commodities and is known as a portfolio for an individual investor. This portfolio is managed by a finance manager, also known as a fund manager.

Mutual Funds (SIP)

- ✓ In Systematic Investment Plan a small amount is constantly invested in the fund on a recurring basis.
- ✓ With SIP, you can invest a minimum of Rs 500 every month or quarter. A fund manager is allocated to invest on behalf of investors in the market in various sectors, such as shares, bonds, and commodities. The aim of the fund manager is to maximize the profit while keeping the risk factor at a minimum.
- ✓ One of the major benefits of investing in SIP is the power of compounding, where the interest earned on the principal value is reinvested. Over a period, investors yield a higher return of profit.

Categories of MF

Categorization	Equity	Debt	Hybrid
Type	Multi Cap Fund* Flexi Cap Fund Large Cap Fund Large & Mid Cap Fund Mid Cap Fund Small cap Fund	Overnight Fund Liquid Fund Ultra Short Duration Fund Money Market Fund Short Duration Fund Medium Duration Fund Long Duration Fund Dynamic Bond Corporate Bond Fund Banking and PSU Fund Gilt Fund	Conservative Hybrid Fund Balanced Hybrid Fund Aggressive Hybrid Fund Dynamic Asset Allocation or Balanced Advantage Fund Multi Asset Allocation Fund Arbitrage Fund Equity Savings
Objective	The objective of an equity fund is generally to seek long-term capital appreciation. Equity funds may focus on certain sectors of the market or may have a specific investment style, such as investing in value or growth stocks.	A debt fund (also known as income fund) is a fund that invests primarily in bonds or other debt securities. Debt funds invest in short and long-term securities issued by government, public financial institutions etc	Invest in a mix of equities and debt securities. They seek to find a 'balance' between growth and income by investing in both equity and debt.

Source: <https://www.amfiindia.com/investor-corner/knowledge-center/SEBI-categorization-of-mutual-fund-schemes.html>

NPS

- ✓ Launched in 2004, the National Pension System (NPS) is a government-sponsored pension program. Although it was initially solely available to government workers, the government made it available to everyone in 2009. Individuals can contribute to their NPS accounts while still working and withdraw once they turn 60.
- ✓ In essence, NPS is an annuity product designed to act as a retirement fund once a person leaves the workforce.
- ✓ Tier 1 and Tier 2 NPS accounts are two different categories. As opposed to Tier 1, which serves as the principal NPS account for building a retirement fund, Tier 2 is similar to a voluntary savings account and provides greater flexibility for deposits and withdrawals.

PPF

- ✓ A PPF account has a lock-in period of 15 years on investment, before which funds cannot be withdrawn completely. An investor can choose to extend this tenure by 5 years after the PPF lock in period is over if required.
- ✓ A minimum of Rs. 500 and a maximum of Rs. 1.5 Lakh can be invested in a provident fund scheme annually. This investment can be undertaken on a lump sum or installment basis. However, an individual is eligible for only 12 yearly instalment payments into a PPF account.
- ✓ The interest payable on public provident fund schemes is determined by the Central Government of India. It aims to provide higher interest than regular accounts maintained by various commercial banks in the country.
- ✓ Interest rates currently payable on such accounts stand at 7.1%, and are subject to quarterly updates at the discretion of the government.

NPS Tier 1	NPS Tier 2
Any Indian citizen between 18 and 65 can open it.	Any Indian citizen who has an active Tier 1 account.
Minimum amount to start investing is Rs.500.	Minimum amount to start investing is Rs.1,000.
Tier 1 accounts have a lock-in period until the investor turns 60.	Tier 2 accounts don't have any lock-in period.
Section 80C of the Income Tax Act permits deductions for contributions up to Rs.1,50,000 annually. Section 80CCD(1B) allows for additional deductions of Rs.50,000.	Tier 2 contributions are not tax-exempted for non-government employees. However, government employees are eligible for a deduction under section 80C for the contributions made to Tier 2 account after the lock-in-period of 3 years.
For the first three years, withdrawals are not permitted. After that, you can take up to 25% of the fund's value, but only for certain things. When the account holder turns 60, 60% of the fund value may be withdrawn, with the remaining funds being utilised to buy an annuity.	The withdrawal and exit rules are flexible. You can withdraw funds anytime.
Taxes are not applicable on 60% of the corpus, withdrawn at maturity.	The withdrawn funds are added to the investor's income and are then taxed at the applicable income tax rate brackets.
It is feasible to move funds from Tier 2 to Tier 1 accounts. Moreover, funds from the EPF can be transferred to Tier 1.	Transferring funds is not permitted from an NPS Tier 2 account.

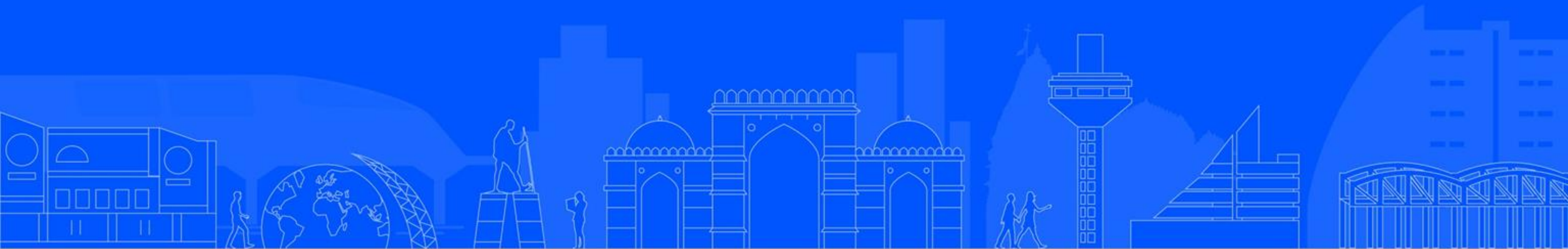
Source: <https://cleartax.in/s/nps-tier-1-vs-nps-tier-2>

Remember

- ☑ Never put all eggs in one basket
- ☑ Higher the risk, higher the return
- ☑ Invest low, Exit high
- ☑ Don't worry if you have missed the bus, the next one will be around the corner, be ready for it
- ☑ Power of Compounding
- ☑ Understand and invest as per your risk appetite
- ☑ Take a long term view
- ☑ Be aware of your investment and it's performance
- ☑ Invest Early
- ☑ Don't eat more than what you can digest
- ☑ Sensibility in Investment not greed
- ☑ Always keep one bank which never changes
- ☑ Investment is subject to market risk
- ☑ Read the policy before investment
- ☑ Always know the entry, exit and benefit of any investment

Any Questions?

For more details please refer to the Handbook provided.



Thank You!

